Continued conflicts to keep oil prices elevated with diesel supply remaining tight

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Daily Brief
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summary

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Middle distillate supply will remain tight into 2027 as refinery damage and reduced Russian diesel exports leave markets vulnerable to winter bottlenecks.
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Ian Bremmer looks at the fallout from the US midterms for President Donald Trump and domestic politics, as well as the policy impact on Iran, Russia, Israel, and trade.
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Brazilian President Luiz Inacio Lula da Silva’s fourth term will likely begin with a fiscal course correction, starting with a complementary bill in the coming days and likely followed by a constitutional amendment on spending rules.
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The UAE will lead a bailout of Bahrain and tie the support to further alignment with its positions on Israel and Iran, anchoring Bahrain in Abu Dhabi’s orbit.
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Countries and sectors in this edition of the Daily Brief include the US, Bahrain, Brazil, Iran, Israel, Russia, Saudi Arabia, South Africa, the UAE, the Middle East Crisis, energy, geoeconomics, and oil.

the top line

Oil, Energy—Fuel markets face prolonged squeeze into 2027 even as crude flows recover

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The crude oil shortage linked to the Middle East conflict is largely resolved. Crude shipments from the Middle East averaged 20 million barrels per day in the last week of October, rising above volumes being delivered before the war began in late February 2026. Flows remain jagged, however, as Iranian attacks continue to disrupt tanker traffic.
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Conflict is likely to keep prices elevated, even in a balanced or oversupplied market. A simmering conflict will keep prices in a $90-$110 per barrel band for spot Brent, with potential escalation pulling them into a $110-$125 band.

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Middle distillate supply will remain tight well into 2027. The Middle East conflict has caused extensive damage to regional refineries, while the Russia-Ukraine war has significantly curtailed Russia's diesel exports, leaving markets vulnerable to winter bottlenecks.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Oil, Geoeconomics—Oil options price lower risk of US-Iran escalation after midterms

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Reach out to discuss: geoeconomics@eurasiagroup.net .

EG Update—Ian Bremmer on the implications of the US midterms

"Trump asked voters to act as if he was at the polls···and they did. It's inflation, stupid. Affordability has led to high turnout and big anti-incumbency moves in elections around the world, and that proved particularly true in the United States··· Trump is set to become more isolated in an echo chamber of supplicants, whose priority is willingness to respond to whatever the president wishes at the moment."

The key areas of foreign policy where Ian sees significant impact are:

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Iran: Having lost the election and admitting that the war in Iran was a big (if not the most important) piece of it, the United States has handed the Iranian government leverage, effectively taking dramatic escalation off the table.

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Israel: With Trump announcing on the morning of the elections that he would no longer provide military aid to the country, and then Vice President Vance announcing that US-Israel policy was one of the top reasons for the Republican midterm loss.

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Russia: Trump remains interested in announcing a peace deal with Moscow, normalizing US relations with Putin, undermining a unified European position that opposes Trump's interest, and further monetizing his remaining tenure in office.

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Trade: A lame duck Trump has fewer cards and accordingly will be more willing to act flexibly with partners.

For more in depth analysis on the implications for the US approach to China, Latin America, North Korea, and AI as well as Ian's views on Israel's opposition and Benjamin Netanyahu, and the financial crisis in Paraguay, see this week's EG Update .

Brazil—Lula's fourth term set to begin with fiscal course correction

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Lula’s fourth term is expected to begin with a fiscal course correction, targeting a primary balance improvement of about 0.5ppts of GDP in 2027 and about 1.5ppts over the full term.

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The administration will likely submit a complementary bill in the coming days as the first and most viable part of its fiscal package, with broader spending freezes and stricter compliance with the midpoint of the fiscal target. It will likely endorse a constitutional amendment to change spending rules (65% odds, up from 60%), such as those in the health and education spending floors.

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Cabinet picks, especially the chief of staff, matter more than the finance minister. Former finance minister Fernando Haddad is the preferred fiscal partner, while Workers’ Party Senator Camilo Santana, at about 50/50 odds, is the key risk variable.

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Read more here and here . Reach out to discuss: brazilresearch@eurasiagroup.net .

upcoming conference calls

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10 November 8:00 PM ET—US-Iran talks and the outlook for escalation. Register here .

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11 November 10:00 AM ET—Cameroon: Navigating political and economic crossroads. Register here .

eg in brief

Bahrain, UAE, Saudi Arabia—UAE bailout will anchor Bahrain in Abu Dhabi’s orbit: Abu Dhabi will lead a rescue package for Bahrain likely consisting of a zero-interest loan of as much as $10 billion as the Iran war intensifies pressure on the island kingdom’s economy and fiscal situation, with Kuwait and Saudi Arabia also expected to contribute. The UAE will tie the money to further Bahraini alignment with its positions on Israel and Iran, regional conflicts such as Sudan, and UN affairs. Bahrain is pivoting from Saudi Arabia to the UAE as its primary economic and political patron, a shift Riyadh will tolerate given Bahrain’s low strategic priority. Read more here . Reach out to discuss: mena@eurasiagroup.net .

Brazil, US—Relations likely to stabilize: Trump will show little appetite for further straining the bilateral relationship, despite US involvement in Senator Flavio Bolsonaro’s exit from Brazil, and the Bolsonaros’ relevance to Washington will fade. Ties will improve modestly even without a deal on tariffs, given the low odds of escalation and the room for closer cooperation on organized crime. Lula’s frustration with platform bias will put him on a collision course with US tech companies, making social media regulation in Brazil the lingering potential source of friction. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

South Africa—ANC’s Johannesburg collapse signals structural decline: On a conference call, Director for South Africa Christopher Loewald and external guest MarkData Managing Director Jan Wegelin discussed how the African National Congress’s (ANC) collapse in Johannesburg, from 33.6% in 2021 to 18.1%, signals accelerating structural decline, not a cyclical dip. Action SA has emerged as Johannesburg’s kingmaker at about 16%. Coalition math in Gauteng’s metros likely excludes the ANC from major urban governance, creating significant tension with the national Government of National Unity. Read the conference call notes here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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9 November: Events: COP31 climate summit opens in Antalya, Turkey (through 20 November), US Congress returns from recess, and Mexico's lower house begins floor debate on the 2027 budget.

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10 November: Events: House Republicans hold leadership election and US-mediated talks between Russia and Ukraine are due to take place; Data: China trade and US CPI.

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11 November: Events: US bond markets close for Veterans Day.

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12 November: Events: Germany's Bundestag budget committee holds final 2027 budget session; Data: Argentina, Brazil, and India CPI, Japan PPI, UK GDP, and US federal budget balance; Central bank decisions: Peru, Romania, Serbia, and Uganda.

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13 November: Data: Eurozone GDP, France, Poland, Russia, and Spain CPI, and US PPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"I may or may not get involved. I don't know. Maybe I'm better off not getting involved."—Trump said in a CBS 60 Minutes interview aired on 8 November, when asked whether he will endorse a successor for the 2028 Republican presidential nomination.

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